STOCK PITCH · SHORT IDEA · EQUITY RESEARCH COURSE · 6 NOVEMBER 2026

Intel

Nasdaq: INTC · Information Technology / Semiconductors · United States

The 2026 margin peak is behind us: the Street still prices a shortage windfall as permanent

SELL	$32	$56.28	−43%
Rating	12-18 month target	Price, 6 Nov 2026	Downside, 12 months

Noah Doose & Victor Endrizzi · MSc Financial Markets & Investments, SKEMA Business School · Equity Research course · Not investment advice

THE CALL

Sell: 2026 margins were a shortage windfall; our 2027 EPS is 25% below the Street

OUR CALL

SELL

Target	$32
Price	$56.28
Downside	−43%
Horizon	12-18 months
Conviction	Initiation

1

Peak margins, not a new base

Q4 guide at 38% gross margin; the Street still has 42.5% for 2027.

$1.33

2027E EPS (Street $1.78)

2

Servers capped, PCs shrink

Server demand >30% but Intel is supply-capped; PC units −10% in 2027.

−9%

client revenue, 2027E

3

Capex and dilution eat the cash

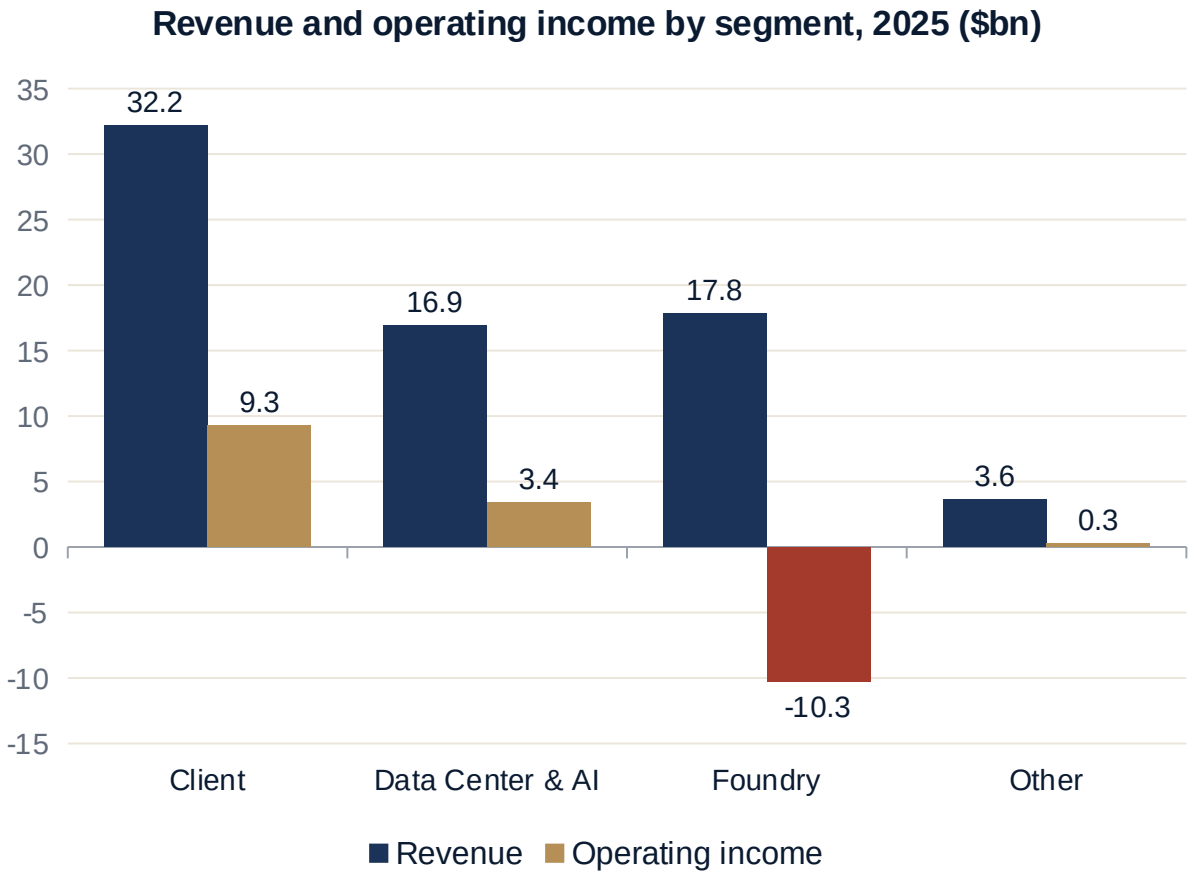
Capex 'up strongly' in 2027; diluted shares +29% since 2023.

−$5.7bn

free cash flow, 2027E

Source: Intel 10-K FY2025, 10-Qs and prepared remarks Q1-Q3 2026; Bloomberg BEst consensus (6 Nov 2026); own model.

The products earn, the factories lose



Client Computing (61%)

PC processors: $32.2bn at a 28.9% operating margin.

Data Center & AI (32%)

+53% in 9M 2026, but supply-constrained into 2028.

Intel Foundry

Makes Intel's own chips; lost $10.3bn in 2025.

Source: Intel 10-K FY2025 (segment note), 10-Q Q3 2026.

Fixed-cost fabs, a shrinking PC market and data centres under political risk

−10%

PC units, 2027

Memory prices break PC demand; PCs are half of Intel's revenue.

>30%

Server CPU units

Demand is not the problem; substrates, Intel 3 and Fab 28 cap supply.

~45%

US data-centre capacity at risk

Possible moratoria after the 3 Nov midterms (Goldman).

>90%

TSMC's share of Apple

The Apple-Intel deal is unconfirmed and covers low-end chips.

Source: Intel Q3 2026 prepared remarks (29 Oct 2026); Goldman Sachs (Nov 2026); WSJ (May 2026) via Tech Times.

Where we differ: the Street needs margins back above 42%; Intel just guided 38%

GROSS MARGIN 2027E

Street (Bloomberg)

42.5%

Our view

39.7%

−2.8 pt

Non-GAAP, like for like (38.5% GAAP).

REVENUE 2027E

Street (Bloomberg)

$69.3bn

Our view

$66.1bn

−4.5%

PC units −10%; servers supply-capped.

ADJUSTED EPS 2027E

Street (Bloomberg)

$1.78

Our view

$1.33

−25%

Each point of margin ≈ $0.10 of EPS.

Four quarters at Intel's Q4 guide of 25 cents is one dollar. The Street needs $1.78: 44 cents a quarter. We have $1.33.

Source: Bloomberg BEst consensus (6 Nov 2026); Intel Q3 2026 release; own model.

VARIANT PERCEPTION

After a 60% fall, Intel still trades at 32.5x Street earnings

THE MARKET SAYS	WE SAY
“2026 margins are the new base.”	They came from reserved inventory, price rises and a shortage; Intel guides 38% for Q4.
“Intel is an AI winner.”	Demand is not the problem, supply is: AMD takes the share Intel cannot ship.
“After a 60% fall, it is priced in.”	Not on earnings: 42.4x our EPS against a 16.8x peer median.

FINANCIALS

Revenue grows 7%, but EPS falls: the gap is margins

$m	2025A	2026E	2027E	2028E
Revenue	52,853	61,718	66,132	73,223
Gross margin (GAAP)	34.8%	40.0%	38.5%	40.5%
Adjusted EPS ($)	–	**1.48**	**1.33**	**1.70**
Consensus EPS ($)	–	1.49	1.78	3.00
Free cash flow	−6,398	298	−5,690	−730

WHAT TO WATCH

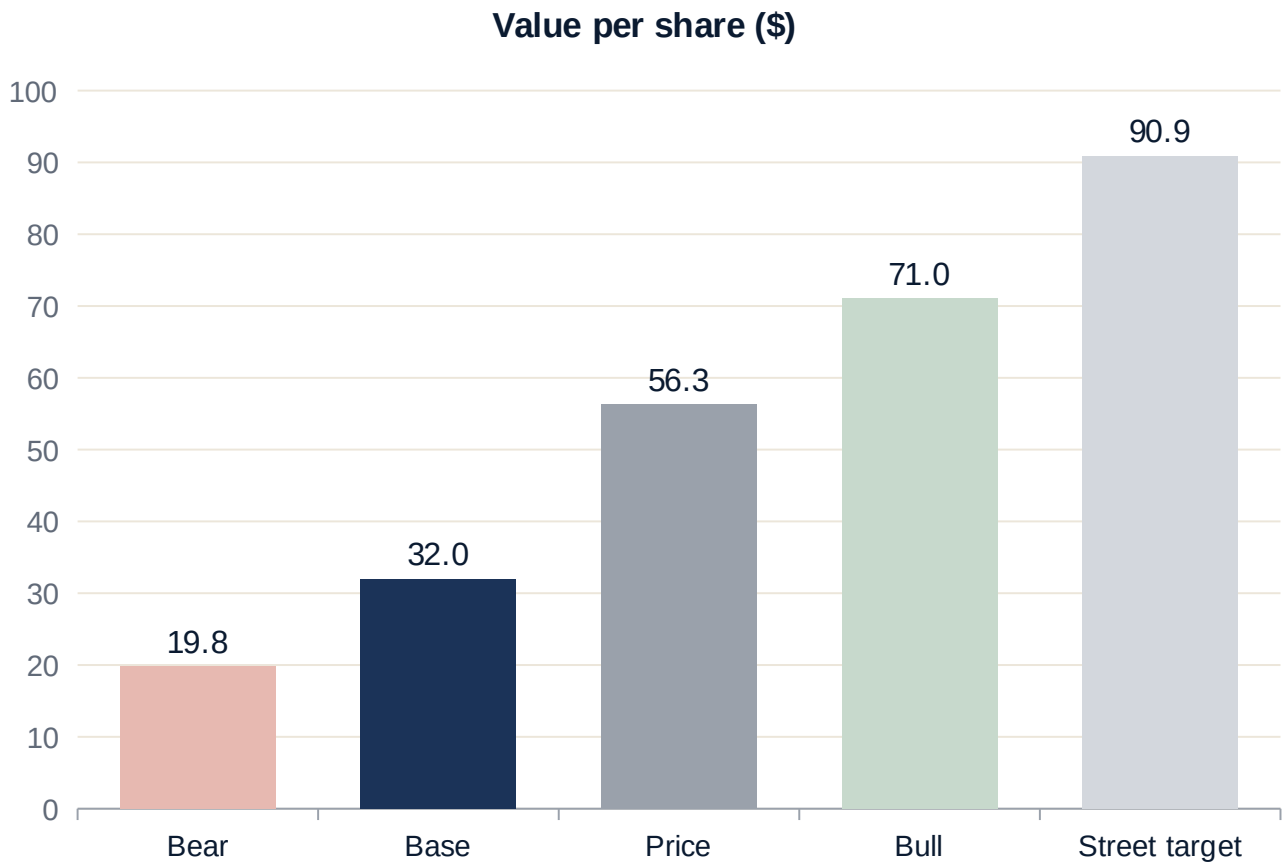
Late Jan 2027

Q4 results and the first 2027 outlook: a gross-margin guide below 40% forces the Street toward our numbers.

Source: Intel 10-K FY2025, 10-Qs 2026; Bloomberg BEst consensus (6 Nov 2026); own estimates. 2026E = nine months + Q4 guide.

VALUATION

$32 target: every method sits below the share price



HOW WE GET THERE

DCF 30%, EV/EBITDA comps 40%, P/E comps 30%

1. **$20.96 / $48.68 / $22.31**

   DCF (WACC 11.5%, g 2.5%), EV/EBITDA 13.3x, P/E 16.8x.

2. **$1.33 × 24.1x = $32**

   A premium to peers for a trough year, far below the Street's 51x.

3. **Street $90.91 → $32**

   −$22.93 from lower EPS, −$35.98 from the multiple.

Source: own model (DCF, Comps, Valuation Summary, Target Price); Bloomberg NTM consensus for eight peers (6 Nov 2026).

CATALYSTS

Four catalysts in 12 months; the January guide resets the Street



HARD

Q4 results and 2027 guide

Consensus to $1.33 at 51x: −$22.93 a share.

SOFT

PC data and CES

Confirms a ~10% PC decline.

SOFT

Data-centre policy

Each −10% of DCAI ≈ −$0.19 of EPS.

HARD

First Apple chips on 18A-P

~$1.2bn of foundry revenue: too small.

The number to watch: the 2027 gross-margin guide in late January; below 40% non-GAAP, the Street must move.

RISKS

Bull case $71, bear $20: the skew still favours a Sell

Server supply fixed early

Each +10% on data center ≈ +$0.19 of EPS.

Apple plus a 14A anchor customer

Would re-rate Intel Foundry before profits: bull case $71.

Short squeeze after a 60% fall

Intel rose 24% on its Q1 print: no short into January without a stop.

WE CHANGE THE CALL IF

- → Data center above $9bn a quarter at gross margin above 42%
- → Apple volumes confirmed with a 14A anchor customer
- → DRAM prices falling early and PCs recovering in H1 2027

SELL

Price target $32 · −43%

Intel's 2026 margins were a shortage windfall; the stock still prices them as permanent

−25%	Late Jan 2027	32.5x
2027E EPS vs Street	**Key catalyst**	**P/E on Street EPS**
$1.33 vs $1.78	Q4 results and 2027 guide	vs 16.8x for peers

Questions?

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Sources and disclosures

[1] Intel Corporation, Form 10-K for the fiscal year ended 27 December 2025

[2] Intel Corporation, Forms 10-Q, Q1-Q3 2026

[3] Intel Corporation, CEO/CFO prepared remarks, Q1-Q3 2026 earnings (Q3: 29 Oct 2026)

[4] Intel, "Intel announces upsize and pricing of $20 billion common stock offering", 11 Aug 2026

[5] Bloomberg L.P., INTC US Equity: BEst consensus, ANR, beta, peers (NTM), weekly prices, 6 Nov 2026

[6] StockTitan (6 Nov 2026) and Forbes (5 Nov 2026): chip stocks after the midterms

[7] Tech Times (20 Jun 2026), Gadget Hacks (2026): reports on the Apple-Intel agreement (WSJ, May 2026)

[8] Damodaran, A., implied equity risk premium, NYU Stern (1 Nov 2026)

[9] SKEMA Business School, Equity Research course materials, Sessions 1-4 (Paul Wuh)

Student research by Noah Doose and Victor Endrizzi for the Equity Research course at SKEMA Business School (November 2026), adapted to the Thoth Ledger pitch format. Intel was assigned by the instructor and is not a holding of the Thoth Ledger value strategy. AI (Claude) was used for extraction, first drafts and formatting; every figure was checked against the filings and Bloomberg; the rating, target and thesis are the authors' own. Not investment advice.